

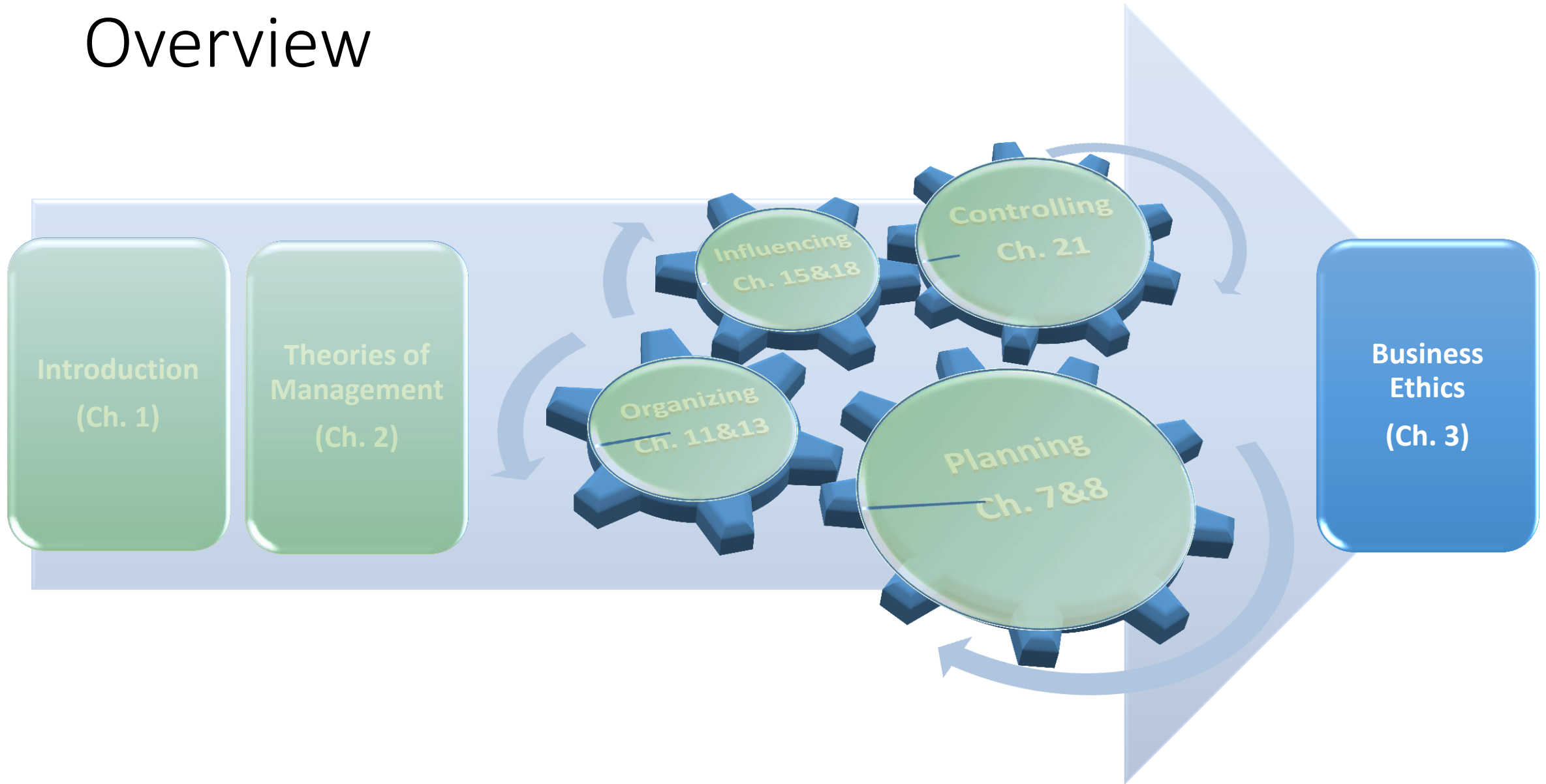
Chapter 3

BUSINESS ETHICS

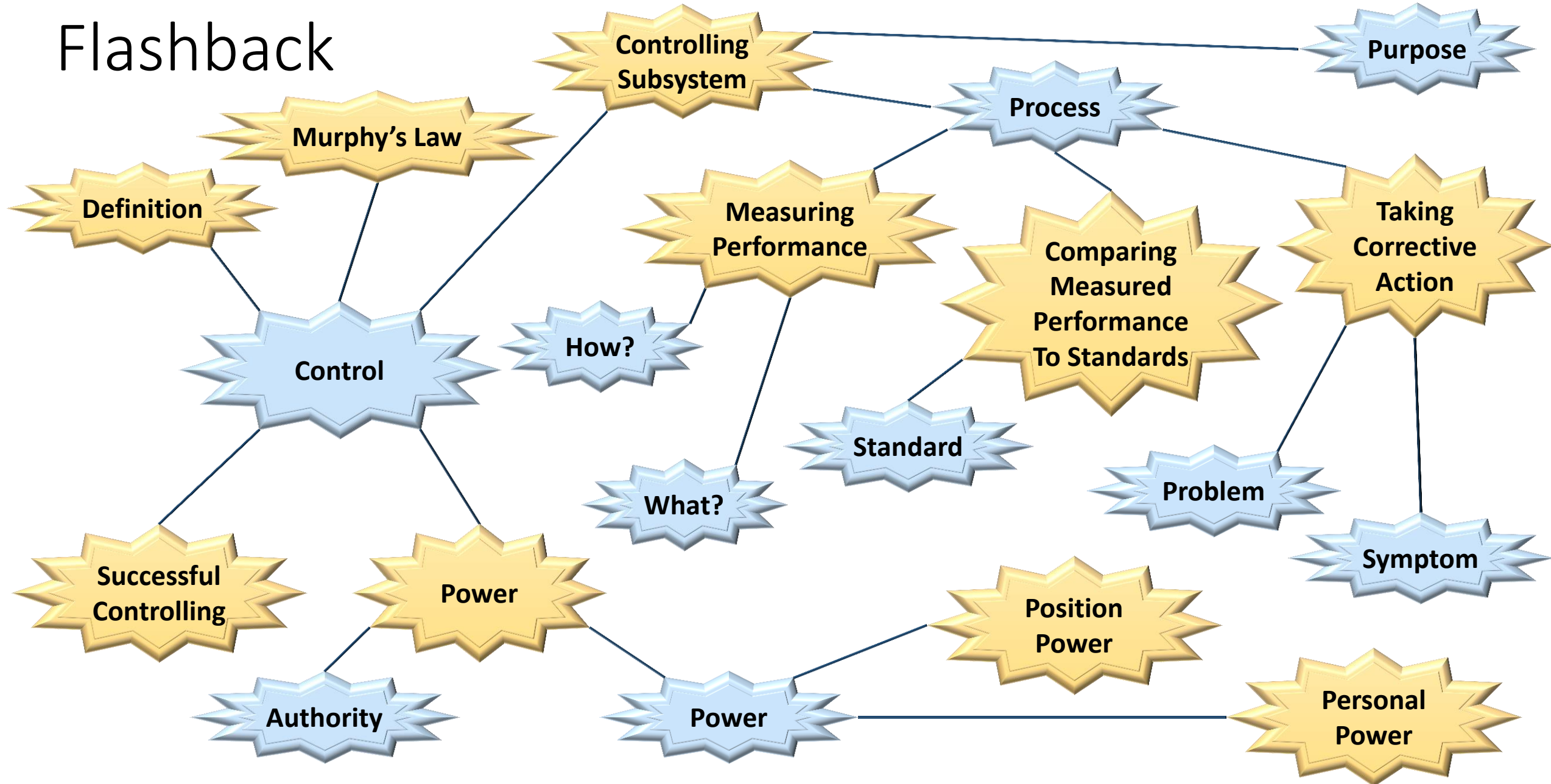
By

Dr. Doaa Saleh

Overview



Flashback



Objectives

1. *A thorough understanding of business ethics*
2. *Insights into the importance of business ethics*
3. *An understanding of a code of ethics*
4. *Knowhow to Creating an Ethical Workplace*

Definitions

- **Ethics:**

The **capacity to reflect on values** in the corporate decision making process, to determine how these **values** and decisions **affect** various **stakeholder** groups, and to establish how **managers** can **use** these observations in **day-to-day** company **management**.

Why Ethics Is Vital?

- John F. Akers, former board chair of IBM said

“Ethics and competitiveness are inseparable. We compete as a society. No society anywhere will compete very long or successfully with people stabbing each other in the back; with people trying to steal from one another; with everything requiring notarized confirmation because you can’t trust the other person; with every little squabble ending in litigation; and with government writing reams of regulatory legislation, tying business hand and foot to keep it honest.”

Why Ethics Is Vital?

- The employment of ethical business practices can enhance overall corporate health in three important areas:
 1. Productivity.
 2. Stakeholder Relations.
 3. Government Regulation.

Why Ethics Is Vital?

Productivity.

- When management is resolved to act ethically toward stakeholders, then employees will be positively affected.
- For example, a corporation may decide that business ethics requires it to make a special effort to ensure the employees health and welfare.
- Many corporations have established Employee Advisory Programs (EAPs) to help employees with family, work, financial or legal problems, or with mental illness or chemical dependency.
- For instance, Control Data Corporation found that its EAP reduced health costs and sick-leave usage significantly.

Why Ethics Is Vital?

Stakeholder Relations.

- A positive public image can attract customers and suppliers who view such an image as desirable.
- For example, Johnson & Johnson Credo (announced 60 years ago).

We believe our first responsibility is to the doctors, nurses and patients,
to mothers and fathers and all others who use our products and services.
In meeting their needs everything we do must be of high quality.
We must constantly strive to reduce our costs
in order to maintain reasonable prices.
Customers' orders must be serviced promptly and accurately.
Our suppliers and distributors must have an opportunity
to make a fair profit.

Why Ethics Is Vital?

Government Regulation.

- Where companies are believed to be acting unethically, the public is more likely to put pressure on legislators and other government officials to regulate those businesses or to enforce existing regulations.
- For example, in 1995, Texas state legislators held public hearings on the operations of the psychiatric hospital industry. These hearings arose, at least partly, out of the perception that private psychiatric hospitals were not following ethical pricing practices.

A Code of Ethics

- A formal statement that acts as a guide for the ethics of how people within a particular organization should act and make decisions.
- It commonly addresses such issues as:
 1. Conflict of Interest.
 2. Competitors.
 3. Privacy of Information.
 4. Gift Giving.
 5. Giving and receiving political contributions or business.
- It is impossible to cover all ethical/unethical conducts in one code.
- Managers should view codes of ethics as adaptive tools.

A Code of Ethics

The screenshot displays the website of the Faculty of Computers and Information at Cairo University. The header includes the faculty's name, logo, and navigation links for 'About FCI', 'Students', 'Staff', and 'Alumni'. A dropdown menu under 'Staff' is open, showing 'Staff Members' and 'Code of Ethics FCI-CU Staff', with the latter highlighted by a red box. Below the header, a horizontal menu lists 'Academic', 'Research', 'Community', 'Students Services', 'PostGraduate Services', 'Important Links', and 'E-M'. The 'Students Services' dropdown is also open, showing links like 'Academic Agenda', 'Time Tables', 'Exam Time Tables', 'Undergraduate Student Guide', 'Undergraduate Statistics', 'Faculty Office Hours', 'Code of Ethics FCI-CU Students' (highlighted with a red box), and 'Academic Advising'. A large banner image shows a group of graduates in caps and gowns, with the text 'Students Graduation Ceremony' overlaid. Below the banner, there are sections for 'News' (PhD Defense of Ehab Emam Zakarya), 'Events' (Network Technology Program), and 'Announcements' (A NEW Professional Master Degree in Cloud Computer Networks from the Faculty of Computers and Information). Each section has a corresponding graphic: a graduation cap for the news item, a network diagram for the event, and a cloud icon for the announcement.

Faculty of Computers and Information
Cairo University

About FCI Students Staff Alumni

Staff Members
Code of Ethics FCI-CU Staff

FLDC

Academic Research Community Students Services PostGraduate Services Important Links E-M

Students Graduation Ceremony

Academic Agenda Postgraduates Student Guide
Time Tables Master
Exam Time Tables PhD
Undergraduate Student Guide PhD Qualification Exams
Undergraduate Statistics Faculty Office Hours
Faculty Office Hours Code of Ethics FCI-CU Students
Code of Ethics FCI-CU Students
Academic Advising

News
PhD Defense of Ehab Emam Zakarya

Events
Network Technology Program

Announcements
A NEW Professional Master Degree in Cloud Computer Networks from the Faculty of Computers and Information

PhD Degree Discussion
مناقشة دكتوراة

Network Technology Program

Professional Master program in Cloud Computer Networks

A Code of Ethics

المحتويات

رقم الصفحة	البيان	مستند
٣	مقدمة	-
٣	السلوكيات	١
٣	٢.١ سلوكيات عامة	
٤	٢.٢ السلوك داخل قاعات المحاضرات	
٤	٢.٣ السلوك داخل قاعات المعامل	
٤	الأمانة العلمية/ الأكاديمية	٢
٥	احترام قواعد ولوائح الكلية	٣
٥	احترام تبادل الآراء والأفكار	٤
٥	آليات التعامل مع مخالفة الميثاق	٥

Creating an Ethical Workplace

- To create, distribute, and continually improve the code of ethics.
- To appoint a **Chief Ethics Officer** (has the job of ensuring the integration of organizational ethics and values into daily decisions at all organizational levels).
- To furnish organization members with appropriate training programs:
 - Do not attempt to teach managers what is moral or ethical.
 - Give them criteria they can use to help determine how ethical a certain action might be.

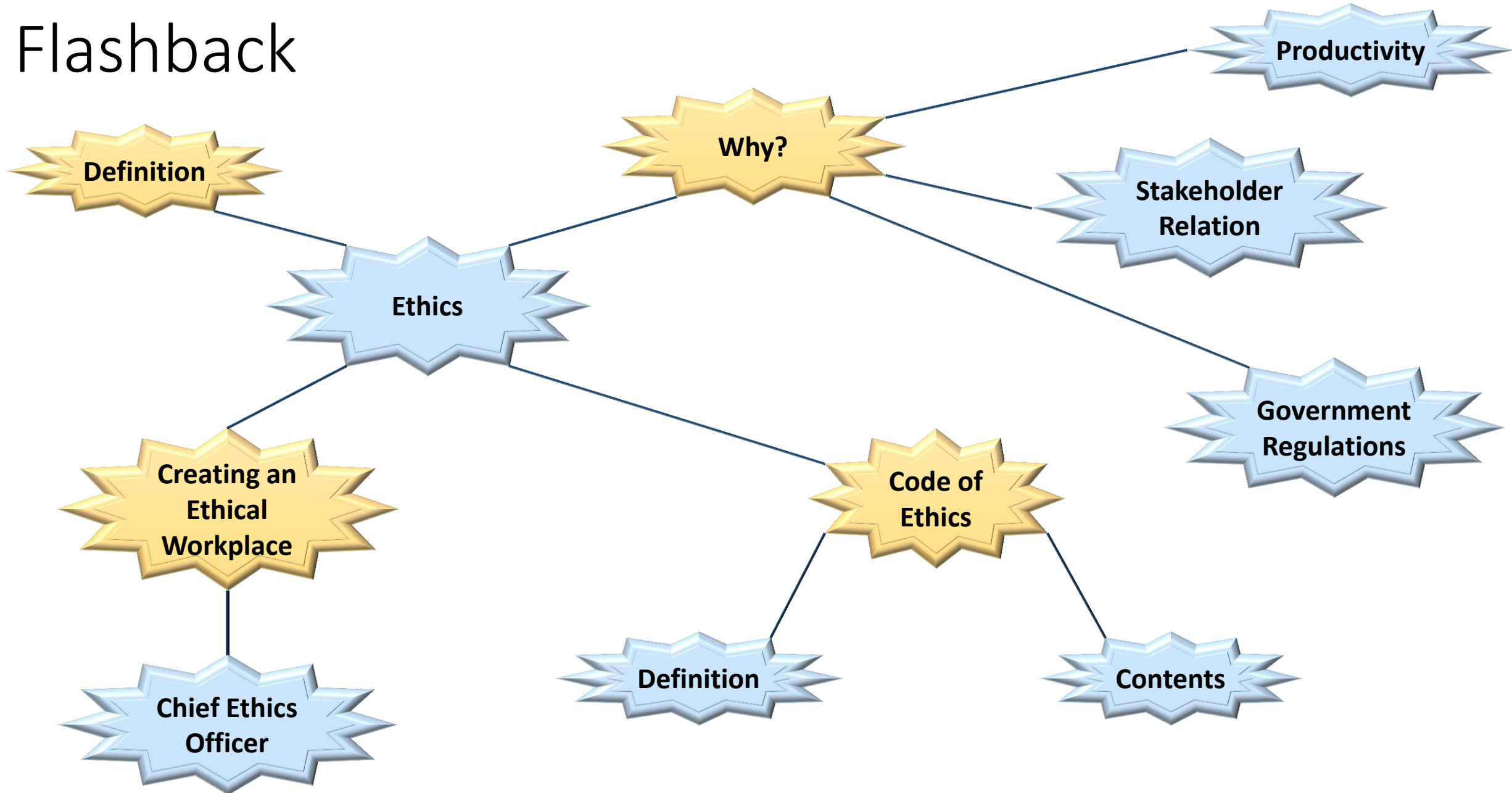
Creating an Ethical Workplace

- Managers can feel confident that a potential action will be considered ethical by general public if it is consistent with at least one of these standards:
 - **The golden rule:** “Act in a way you would expect others to act toward you”.
 - **The utilitarian principle:** “Act in a way that results in the greatest good for the greatest number of people”.
 - **Kant’s categorical imperative:** “Act in such a way that the action taken under the circumstances could be a universal law, or rule, of behavior”.
 - **The professional ethic:** “Take actions that would be viewed as proper by a disinterested panel of professional peers”.

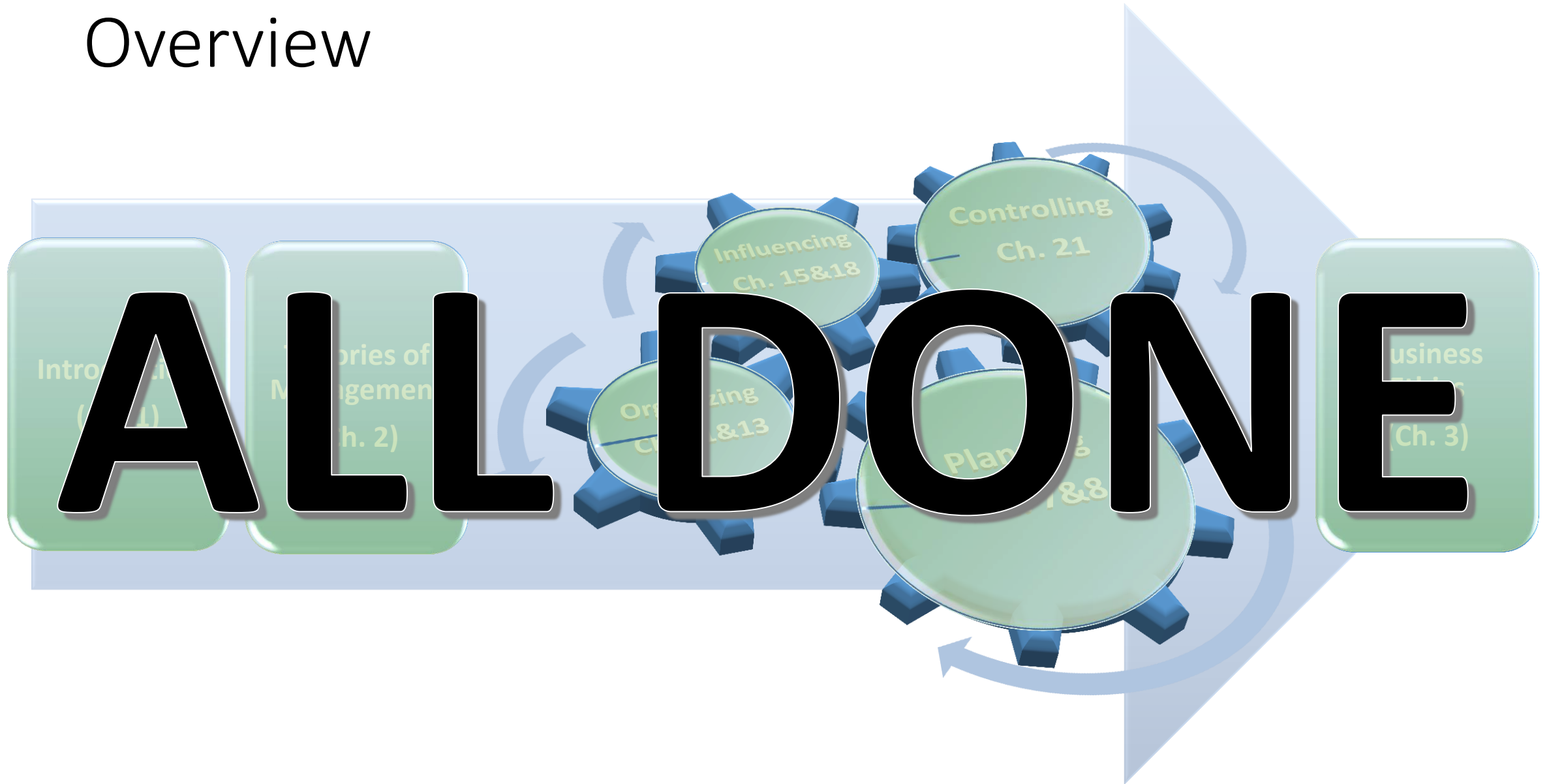
Creating an Ethical Workplace

- **The TV test:** Managers should always ask, “Would I feel comfortable explaining to a national TV audience why I took this action?”.
- **The legal test:** “Is the proposed action or decision legal?” Established laws are generally considered minimum standards for ethics.
- **The four-way test:** Managers can feel confident that a decision is ethical if they can answer “yes” to the following questions:
 1. Is the decision truthful?
 2. Is it fair to all concerned?
 3. Will it build goodwill and better friendships?
 4. Will it be beneficial to all concerned?

Flashback



Overview



Big Thank You

1. All students who were keen to attend the lectures.

Special Thank You

1. All students managers 😊 [Time and Quality managers] for their white hands.
2. All students who participated in discussions during the lectures.